

THE INDIAN UNICORN STORY

IS APING THE WEST ALL THAT OUR STARTUPS ARE GOOD FOR?

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India became a preferred destination for startups way back when our economy was overhauled to be more business friendly. Our country is now home to some 39,000 startups serving all sorts of markets and domains. However, this doesn't say much about how the Indian startup ecosystem fares as compared to other global startup hubs. To do that, we need to look at the ones that made it into the big leagues. The startups that become Unicorns and the ones that are well on their way towards entering the \$1 Billion club. There's a word for that too – Soonicorns.

THE ONE THAT STARTED IT ALL

India's first ever Unicorn, was Mu Sigma, a business analytics company that was founded in 2004 by Dhiraj C Rajaram in 2004. It has the distinction of being a Unicorn startup that has been profitable right from the very beginning. This is because of the very nature of the startup wherein there's no need to burn VC money for the sake of accelerating growth without worrying about profits. When your expenses are minimal, you will be profitable. By 2013, Mu Sigma had raised 163 million dollars in funding. In today's world 163 million might not be a sizeable number but back then in 2013, this was a colossal amount. Mu Sigma wasn't the first company to start offering business analytics in India. In fact, several well-known entities such as Accenture and IBM were already offering the same. The only differentiator here was that Mu Sigma used people who were adept



at programming, analysis, and math. They called them decision scientists.

Mu Sigma achieved Unicorn status in 2013. It was followed by Quickr, the online classifieds platform in 2015 and then in 2016, Hike and ShopClues joined the billion-dollar valuation club. 2017 saw Zomato, ReNew Power, In-Mobi and Snapdeal become Unicorns as well. However, it was in 2018 and 2019 that we saw the greatest number of companies achieve Unicorn status.

You might have noticed a few obvious names missing from the above list such as MakeMyTrip and Flipkart. That's because these companies are registered in other countries and began their business in India later. A small technicality that prevents them from being counted in the same group. This does beg the question as to why did these companies choose to set up in another country? It comes down to regulations. In the case of Flipkart, the

FDI policy at the time did not permit FDI in the B2C segment. Raising funds solely from VCs present in India just reduces the opportunities that startups have to raise funds. Then there are taxes, another major factor that makes even companies such as Apple move its registration to countries such as Ireland which has one of the lowest rates in the world. The same applies to corporate taxation wherein Singapore with its 17% corporate taxation rate is much more appealing than India's 34%.

MEASURING SUCCESS

India's climb to become one of the top three startup ecosystems hasn't been an easy one. Founding a startup shouldn't be taken as a measure of how good the ecosystem is. Numerous other factors such as exits, funding, IP patents filed, government initiatives, business freedom, taxation, access to skilled labour, etc. play significant